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The US posted zero biopharma IPOs in Q2. That hasn't happened since 2016

By [Michael Bodley](#)

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The VC-backed biopharma IPO scene is all but barren.

The second quarter recorded a total of zero biopharma IPOs in the US, according to the latest [PitchBook research](#). It was the first quarter since 2016 without a single one.

Healthcare investors say M&A keeps the private biopharma markets moving and that [public listings abroad](#) have picked up some of the US slack. Still, new listings have been bogged down by elevated interest rates, [overinflated private valuations](#), and some regulatory uncertainty.

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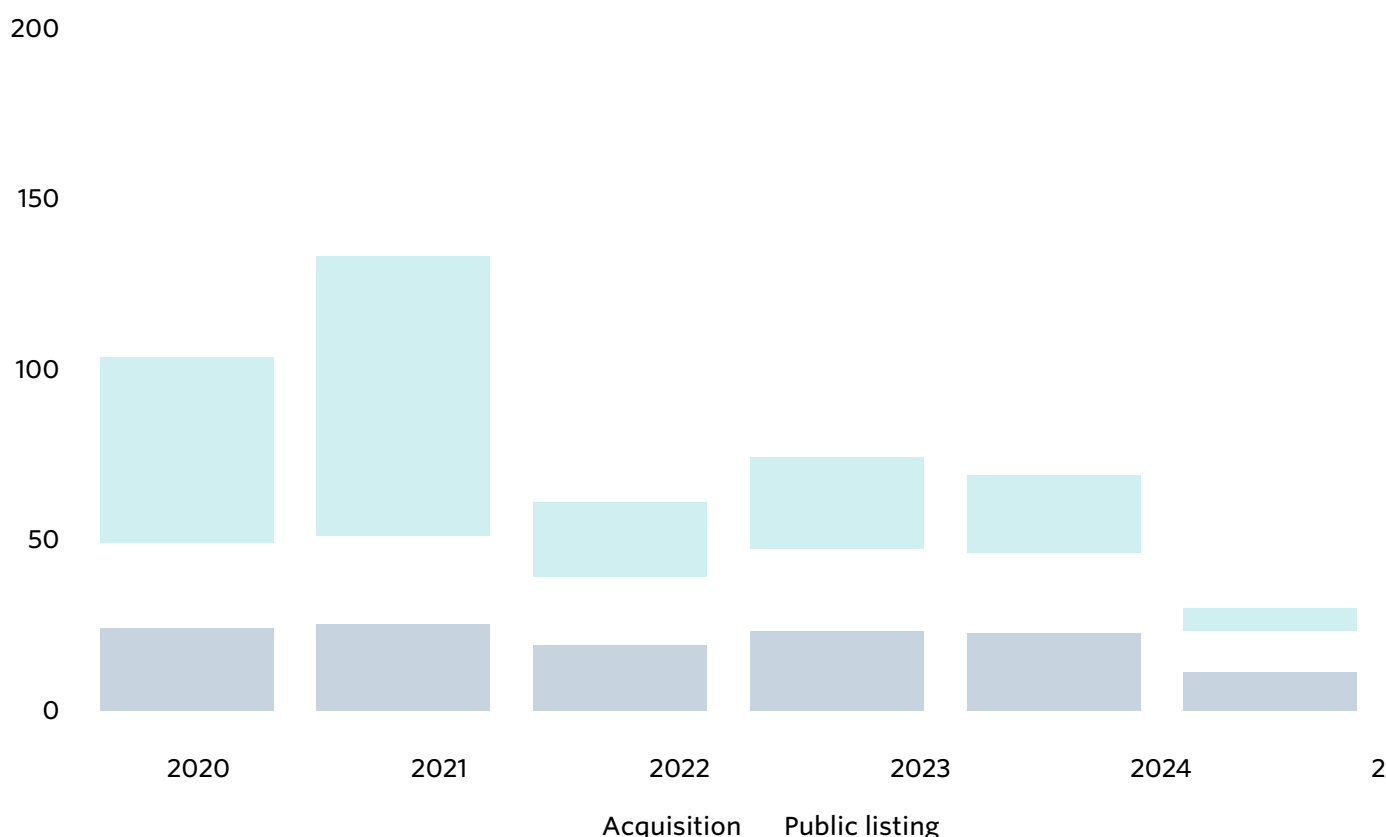
There are three main culprits, according to Rahul Chaudhary, head of equity capital markets at [Leerink Partners](#):

1. After going public, biopharma stocks in aggregate have performed poorly for more than 18 months running.
2. The glut of biotech companies that listed in 2020 and 2021 continues to flood the stock market, causing more competition for new IPOs, spreading specialist capital thinner.
3. Interest rates in the US are still elevated, on a relative basis.

"Investors effectively cried 'uncle,' and said they're just not interested in IPOs, at the moment," Chaudhary said. "That's what we've been witnessing for the past four to five months."

Bruised biotech IPOs

Public listings for VC-backed biotech drop, M&A steadies the course



Source: [Q2 2025 Biopharma VC Trends](#) • Geography: Global • As of June 30, 2025

[Deals and dollars are dropping](#) at the early VC stages, too. In Q2, biopharma VC investment totaled \$5.4 billion across 198 deals, the lowest totals since 2020, when PitchBook started tracking them. The first half of 2025 also trailed the same period in 2024 on both counts.

“There’s lots of down rounds going on, sideways is kind of the new thing,” said Stephen Chambers, a GP at [SOSV](#). [Those down rounds](#) have helped bring about a much-needed “readjustment in terms of the ridiculous valuations,” he added.

The [Morningstar US Biotechnology index](#) is down about 20% over the past year, though it has recently pared back losses in line with the market’s broader upturn. Shares of [Sionna Therapeutics](#), [Maze Therapeutics](#) and [Neonc Technologies](#) have all declined following their 2025 IPOs.

The sector’s poor IPO performance and broader market downturn have been brewing for the past two to three years, according to Kevin Dai, a managing director at [Vivo Capital](#).

The noise around [regulation] is unbearable. It’s too much noise going on. That sentiment leaks into the marketplace a bit

Stephen Chambers, SOSV

The fact that [VCs in need of liquidity](#) are pushing portfolio companies to IPO on an accelerated timeline is one underlying problem, Dai said.

“Some of these companies go out a little earlier than they already wanted, and the public sector says, ‘All right, I’m going to take you at a significant discount to your last round,’” he said.

Investors have, meanwhile, been paying attention to the [Trump administration’s developing priorities](#) and policies—especially the potential for the US government to play a more aggressive role in drug pricing.

In May, President Trump issued an executive order directing federal agencies to set “price targets” for pharmaceutical companies, in a bid to drive down high prescription drug costs for Americans. But experts say the initiative lacks price enforcement teeth without Congressional action.

Read more: [Q2 2025 Biopharma VC Trends](#)

Big Pharma isn’t panicking, but the developments might cause investors to wait until they have a clearer picture of the profits that new, brand-name drugs can bring once they hit the market. It’s common for startups to need [more than a decade](#) to shepherd a new drug through the FDA’s approval process—making it crucial for early-stage GPs to be able to accurately model future portfolio company revenue.

“The noise around [regulation] is unbearable,” Chambers said. “It’s too much noise going on. That sentiment leaks into the marketplace a bit.”

The FDA’s drug approval process and timeline don’t appear to have been affected, according to Vivo’s Dai. He added that three portfolio companies all recently received expected FDA approvals on time.

SOSV’s Chambers said the FDA and related agencies appeared to be “functioning in a timely manner.” All else equal, he said he expected IPOs to pick up in Q1 of 2026, driven by the burgeoning IPO aspirations of a new crop of [healthcare startups enmeshing AI](#) into drug development.

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About [Michael Bodley](#)

Michael Bodley is a senior venture capital reporter at PitchBook News, covering top fund managers and developments affecting limited partners. Based in New York, Michael previously led TheStreet.com's crypto coverage. He also reported for Hedge Fund Alert after breaking into journalism at the San Francisco Chronicle. Originally from Baltimore, Michael graduated from Elon University.

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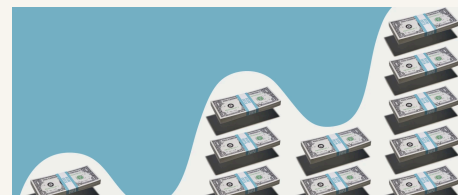


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